Table 6—Discontinuities in College Enrollment and Degree Completion Rates

Sample	Final year undergraduates (U)		Final year graduates (G)		All final year applicants (U + G)	
	Baseline mean (1)	Nonparametric estimates (2)	Baseline mean (3)	Nonparametric estimates (4)	Baseline mean (5)	Nonparametric estimates (6)
Panel A. College enrollment (*2008 to 2010 applicants*)						
Enrolled in college in graduation year	0.795	0.021**	0.776	0.017	0.789	0.019***
		(0.010)		(0.017)		(0.007)
		34,261		12,198		66,140
		[45,780]		[20,360]		[66,140]
Panel B. Degree completion (*2008 to 2010 applicants*)						
Obtained degree in graduation year	0.587	0.029***	0.566	0.035*	0.580	0.031***
		(0.011)		(0.019)		(0.009)
		40,789		13,073		64,735
		[45,780]		[20,360]		[66,140]

Notes: The table reports the estimated discontinuities in the college enrollment and degree completion rates of applicants entering the final year of an undergraduate or graduate degree program, at the income eligibility thresholds between level 0 (fee waiver only) and level 1 (fee waiver and annual cash allowance of 1,500 euros) grants. The window size for the relative income-distance to cutoff is ± 0.16. Columns 1, 3, and 5 report the mean value of the dependent variable above the income eligibility thresholds. The nonparametric estimates use the edge kernel, with bandwidths computed following Imbens and Kalyanaraman (2012). Optimal bandwidths are computed separately for each outcome and sample. Robust standard errors are shown in parentheses. The number of observations used in the nonparametric estimations are reported below the standard errors. Full sample sizes are in square brackets.

***Significant at the 1 percent level.
**Significant at the 5 percent level.
*Significant at the 10 percent level.

enrollment and degree completion remain positive but are smaller and no longer statistically significant. At the master's level, the effects of financial aid are found to be more persistent, as graduate applicants who are eligible for a 1,500 euros cash allowance are more likely to pursue graduate studies and to complete their master's degree after two years. These findings are consistent with the selection process which occurs in French universities, where admission is not competitive but where the weakest students tend to drop out early. Our estimates suggest that the academic prospects of first-year undergraduates who start college as a result of being awarded a grant are similar to those of other college entrants, many of whom drop out along the way. But as students progress through college, only the more able remain, and grants appear particularly effective in subsidizing low-income students who have reached these higher levels of study. Consistent with this interpretation, we also find positive effects on degree completion for prospective final-year undergraduate and graduate students.

A. *External Validity*

Our estimates are based on a sample of low-income high school graduates who applied for a BCS grant to start or to continue college studies. As far as we can determine from cohort study data (see online Appendix, section B), our sample of first-year grant applicants is reasonably representative of the more general population of low-income high school graduates in France. This latter group, which